

ROB PARSON AT MORGAN STANLEY (CASE ANALYSIS)

CONTEXT & OBJECTIVE

- As Paul Nasr, I need decide whether to promote Rob Parson to Managing Director (MD) position or not, keeping in mind the firm (Morgan Stanley) is transitioning to “One-firm” setup as per the CEO’s vision
- Rob is a star performer, has brought lots of business and revenue. But also, he is “difficult to deal with”, “sharp-tongued” and “impatient” as per his colleagues

Reasons to promote Rob

1. Have demonstrated cross-selling very well, which is in-line with the underlying objective of “One-firm” vision
2. With a solid understanding of markets, client & product, he grew Capital Markets division of Morgan Stanley from 2% to 12% in the financial services sector
3. Excellent sales skills, and good relationship with the clients

Final Verdict

Rob Parson is not promoted to the Managing Director (MD) position this year but is given assurance that he will be considered next year, provided he address the feedback from his performance evaluation.

360-DEGREE PERFORMANCE EVALUATION

Under this process, Rob gets reviews from sub-ordinates, juniors and colleagues. In this case, the feedback are provided on skills in 4 areas: Market/Professional Skills, Management & Leadership Effectiveness, Commercial Orientation, and Teamwork/One Firm Contribution

Advantages of this process

- Every employee inputs are valued, leading to better retention rate
- Less biased, due to detailed inputs from every person the employee interacts or work with on day-to-day basis

What needs to be Improved?

- People may not mention truth because of interpersonal issues, which is also difficult from genuine responses as all are anonymous
- Time consuming process, employess may not put proper effort. In fact, we can see in the Exhibit 1 that many responses are empty or very short
- May lead to the problem of Halo Effect

Reasons to not promote Rob

1. If promotes to MD position, others may get the message that “One-firm” vision is just talk and in order to advance we need to get back to the same old shark tank approach
2. Promotion may hurt Paul's reputation, leading to accusations of favouritism
3. Rob’s strategies, which broke many rules and violated internal policies, were benefiting the department in short-term but hurting the long-term future of the firm as whole
4. Not a team-player, and received strong dissatisfaction from the employees regarding his work practices

EVALUATION AND DEVELOPMENT SUMMARY

EVALUATION THEMES

Strengths

- 1. Self-starter, courageous and committed to the work like an entrepreneur
- 2. Profound understanding of the market, and sales skills helped in bringing business
- 3. Very good relationship management with clients, and between teams through cross-selling initiatives and helping attitude

Development Areas

- 1. Needs to work towards becoming a better team player, and communicating better with internal teams
- 2. Becoming more patient, and less volatile will help in making better connections with colleagues helping firm and yourself in the long run
- 3. The attitude should be more more matured, avoiding harsh tone with colleagues and casual approach in presentations
- 4. Should follow “one-firm” vision more diligently, avoiding breaking of rules and violation of firm’s internal policies

COMMUNICATION WITH ROB

The performance review communication should flow in the below sequence between Paul and Rob:

- 1. Addressing the objective of 360-degree performance evaluation
- 2. Actively listening his expectation from the evaluation and what he believes he deserves in the promotion cycle
- 3. Brief the evaluation
- 4. Explain importance of the “One-firm” vision and his duties in this direction
- 5. Revealing of Promotion decision with rationale behind

PERFORMANCE OBJECTIVES FOR NEXT YEAR

Business Goals

Successful transition of Morgan Stanley to its “One-firm” vision, promoting collaboration and cross-selling between different division across the firm.

Professional Development Goals

Work towards the enhancement of: maturity, judgement, decision-making, interpersonal skills, internal communication, team player qualities, management skills and broader vision keeping firm’s primary goal in mind.

Career Goals

Promotion to senior Managing Director role in client capacity, promoting “One-firm” vision among collegaeus, sub-ordinates and seniors.

- 6. Ask inputs or future plans, if he has planned any
- 7. Assurance of promotion next year, if he works on the suggested points
- 8. Reassure his importance in the firm and respect for whatever his decision will be related to his career